Ref: Directive 1.A.i (LT&ST)

DIRECTIVE

FINANCIAL SERVICES BOARD

REPUBLIC OF SOUTH AFRICA

LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)

SHORT-TERM INSURANCE ACT, 1998 (ACT 53 OF 1998)

Addressee:	Long-term & short-term insurers		**File:**	10/17/1 & 10/7/2/3/B	
Edition	**Issue date**	**Effective date**	**Directive**	**Status**	**Withdrawal date**
1st	30 January 2004	01 February 2004	1.A.i (LT&ST)	In force	-
2nd	-	-	-	-	-
3rd	-	-	-	-	-
Subject:	Standing approval to directly borrow money in terms of section 34(1)(c) of the Long-term Insurance Act or section 33(1)(c) of the Short-term Insurance Act				

1. **Introduction**

In terms of section 34(1)(c) of the Long-term Insurance Act and section 33(1)(c) of the Short-term Insurance Act an insurer shall not directly or indirectly borrow any asset (money, securities, shares, etc.) without the approval of the Registrar, given generally or in a particular case, and subject to such conditions as the Registrar may determine.

2. **Background**

Insurers were granted standing approval under section 20(2)(a) of the repealed Insurance Act, 1943 to make use of bank overdraft facilities up to 1% of their total insurance assets for the purposes of their ordinary insurance business in order to bridge temporary cash shortages.

It was also stated that there is no objection if, within the overall limit of 1%, the funds required for bridging temporary cash shortages (example an unexpected offer of a favourable investment to an insurer at a time when the funds available for investment have already been committed to other investments) were to be raised from sources other than banks.

3. **Standing approval**

The standing approval to directly borrow money subject to the limit in paragraph 2 still applies under section 34(1)(c) of the Long-term Insurance Act and section 33(1)(c) of the Short-term Insurance Act. The expression "total insurance assets" means, for purposes of the Long-term and Short-term Insurance Acts, those assets contemplated in section 30(1)(a) of the Long-term Insurance Act or section 29(1) of the Short-term Insurance Act.

4. **Information sharing**

This directive is available on the website (www.fsb.co.za) of the Financial Services Board. Insurers must bring this directive to the attention of their appointed auditors and statutory actuaries.

pp **REGISTRARS OF LONG-TERM AND SHORT-TERM INSURANCE**